



CA INTER MAY/SEP 26/JAN 27

GST

**PLACE OF
SUPPLY / VALUE OF
SUPPLY / TIME OF SUPPLY**

PRACTICE SESSION



Chapter 04: Place of Supply

Illustration 01 [PYQ May 24]

Examine the following independent cases and determine the place of supply:

1. Mr. Joy, an unregistered person of Kolkata, West Bengal sends a courier through Kolkata, West Bengal based Mohan Courier Agency to his sister in Mumbai, Maharashtra.
2. Mr. Nitin, an unregistered person, resides at Rewa, Madhya Pradesh books a two way air journey ticket from Prayagraj, Uttar Pradesh to Jaipur, Rajasthan on 6 September and back. He leaves Prayagraj on 11 September in a morning flight and land in Jaipur the same day. He leaves Jaipur on 15 September in a late night flight and lands in Prayagraj the next day.
3. Rimjhim Pvt. Ltd, located at Lucknow, Uttar Pradesh, purchases a manufacturing machine from Manav Steel Industries Ltd., located at Jaipur, Rajasthan, for being installed in its factory located at Haridwar, Uttarakhand

Solution

1. The place of supply of services by way of transportation of goods by courier provided to an unregistered person is the location at which such goods are handed over for their transportation. Therefore, the place of supply, in the given case is Kolkata, West Bengal.
2. The place of supply of passenger transportation service to an unregistered person is place where the passenger embarks on the conveyance for a continuous journey wherein the return journey is treated as a separate journey, even if the tickets for onward and return journey is issued at the same time. Therefore, the place of supply for the outward and return journey are the locations where Mr. Nitin embarked on the conveyance for the continuous journey, i.e. Prayagraj, Uttar Pradesh for outward journey and Jaipur, Rajasthan, for return journey.
3. If the supply involves goods which are to be installed at site, the place of supply is the place of such installation. Therefore, the place of supply, in the given case is Haridwar, Uttarakhand.

Illustration 02 [PYQ May 24]

With reference to GST law, Determine the place of supply with reason in the following circumstances

Mizu Machine Ltd., registered in the State of Andhra Pradesh, supplied a machinery to Keyan Wind Farms Ltd., registered in the State of Karnataka. However, this machinery was assembled and installed at the wind mill of Keyan Wind Farms Ltd., which was located in the State of Tamilnadu.

Solution

Section 10(1)(d) of the IGST Act, 2017 provides that if the supply involves goods which are to be installed or assembled at site, the place of supply is the place of such installation or assembly.

Thus, the place of supply is the site of assembly of machine, i.e. Tamilnadu.



Illustration 03 [PYQ May 24]

Discuss briefly the place of supply of goods purchased over the counter in one State and transported to another State by the buyer

Solution

There are cases where an unregistered person purchases goods over the counter (OTC) in one State and thereafter, transports the goods to another State (generally, the State where he resides). For instance, migrant workers, tourists, etc. who come to a State for work, tourism, etc. and purchase goods in that State to take it to their respective State. Similarly, in automobile sector, the residents of a State may travel to another State to purchase vehicle from that State to take advantage of lower registration charges and road tax, which vary from State to State and thereafter, take the vehicle to their State. Where the supply of goods is made to a person other than a registered person, the place of supply shall be the location as per the address of the said person recorded in the invoice issued in respect of the said supply and the location of the supplier where the address of the said person is not recorded in the invoice.

For this purpose, recording of the name of the State of the said person in the invoice shall be deemed to be the recording of the address of the said person.

Illustration 04 [PYQ May 24]

An event management company provided services for organizing a sporting event for a Sports Federation which is held in multiple States?

What would be the place of supply of services in this case?

Solution

In case of an event, if the recipient of service is registered, the place of supply of services for organizing the event is the location of such person. However, if the recipient is not registered, the place of supply is the place where event is held.

Since the event is being held in multiple states and a consolidated amount is charged for such services, the place of supply will be deemed to be in each State in proportion to the value for services determined in terms of the contract or agreement entered into in this regard.

In the absence of a contract or agreement between the supplier and recipient of services, the proportionate value of services made in each State (where the event is held) will be computed in accordance with IGST Rules by the application of generally accepted accounting principles.

Illustration 05 [RTP May 24]

With reference to GST law, Determine the place of supply with reasons in the following independent circumstances:-

Miss Kanika of Kolkata (West Bengal) visited to Jodhpur Law University (Rajasthan) and paid her college fees by purchasing a demand draft from a bank located in the University campus. Miss Kanika did not have any account with the bank.

Solution

Section 12(12) of the IGST Act, 2017 provides that the place of supply of banking and other financial services, including stock broking services to any person is the location of the recipient of services in the records of the supplier of services. However, if the location of recipient of services is not available in the records of the supplier, the place of supply is the location of the supplier of services.

Therefore, since the location of recipient is not available in the records of the supplier, the place of supply is the location of the supplier of services, i.e. Rajasthan (or Jodhpur)

Illustration 06 [RTP May 24]

Briefly examine the place of supply in the following independent cases.

- a) Ms. Shanti (unregistered resident of Gujarat) went to meet her parents at the native place Patna, Bihar and buys a medical insurance policy for her parents from an insurance company – MNT Insurers- of Patna (registered in Bihar). The location of the recipient of services in the records of the MNT Insurers is Patna.
- b) Lakhan Singh Transports Pvt. Ltd., a Goods Transportation Agency registered in Noida, Uttar Pradesh, is hired by Ram Trade Links (registered supplier in New Delhi) to transport its consignment of goods from its warehouse in Delhi to the house of a buyer located in Roorkee, Uttar Pradesh.
- c) Mr. Karan (Mumbai) takes a post-paid mobile connection in Mumbai from the service provider - Freesia Ltd. and gives his residence address at Mumbai as the address for billing with the said company

Solution

- a) The place of supply of insurance services provided to a person other than a registered person, be the location of the recipient of services on the records of the supplier of services. Thus, in the given case, the place of supply is the location of the recipient of services in the records of the supplier, i.e. Patna.
- b) The place of supply of services by way of transportation of goods, including by mail or courier to a registered person, is the location of such person. Thus, in the given case, the recipient being registered, the place of supply is the location of recipient, i.e. New Delhi.
- c) The place of supply of telecommunication services including data transfer, broadcasting, cable and direct to home television services to any person in case of mobile connection for telecommunication and internet services provided on post-paid basis, be the location of billing address of the recipient of services on the record of the supplier of services. Thus, in the given case, the place of supply is the location of billing address of the recipient, i.e. Mumbai

Illustration 07 [PYQ Sep 2024]

- a) Garima having its permanent residence in Bhavnagar, Gujarat purchased car from Kiara Motors of Jaipur, Rajasthan to take the advantage of lower registration charges and road tax. Garima took the delivery of the car from Jaipur and returned with car to her residence in Bhavnagar, Gujarat. Address of Garima recorded in the invoice issued by Kiara Motors mentions only the name of the State i.e. Gujarat. Garima is an unregistered person whereas Kiara Motors is a registered person under GST. Determine the place of supply for supply made by Kiara Motors to Garima.



- b) Aakar Advertisement Agency, a registered person in Nagpur, Maharashtra, wants to display the products of its client's at most prominent places in different States. It took on rights to use the space on hoardings mounted on fixed surface attached to earth, situated in Udaipur, Rajasthan and in Gwalior, Madhya Pradesh from G.N. Enterprise registered in State of Chhattisgarh. Aakar Advertisement Agency has an exclusive right to use the space and also to manage the advertisements on the hoardings.

What will be the place of supply of services provided by the G.N. Enterprise to the Aakar Advertisement Agency?

Solution

- a) Where the supply of goods is made to an unregistered person, the place of supply is the location as per the address of the unregistered person recorded in the invoice. Further, recording of the name of the State of the unregistered person in the invoice is deemed to be the recording of the address of the unregistered person. Thus, place of supply is Bhavnagar, Gujarat.
- b) The hoarding/structure erected on the land should be considered as immovable structure/fixture as it has been embedded in earth. Therefore, the place of supply of service provided by way of supply of sale of space on hoarding/ structure for advertising or for grant of rights to use the hoarding/ structure for advertising is the location where such hoarding/ structure is located. The place of supply of any service provided by way of supply/sale of space on an immovable property or grant of rights to use an immovable property is the location at which the immovable property is located, i.e. the location where such hoarding/ structure is located. Thus, for hoarding located in Udaipur, place of supply is Udaipur, Rajasthan and for hoarding located in Gwalior, place of supply is Gwalior, Madhya Pradesh.

Illustration o8 [MTP JAN 2025]

An unregistered person Mr. Pappan from Faridabad travels by Air India flight from Pune to Delhi and gets his travel insurance done in Pune. What is the place of supply of insurance services?

Solution

section 12 of IGST Act, 2017 deals with the provisions of place of supply of services, where location of supplier of service and the location of the recipient of service is in India.

In accordance with sub-section (13) of section 12 of IGST Act, 2017, The place of supply of insurance services shall:-

- a) to a registered person, be the location of such person;
- b) to a person other than a registered person, be the location of the recipient of services on the records of the supplier of services.

So, in the given case, when insurance service is provided to an unregistered person, Mr. Pappan, the location of the recipient of services on the records of the supplier of insurance services is the place of supply. So, Faridabad is the place of supply.

Illustration 09 [RTP May 2025]

CA Jasmeet Singh



Mr. Bindusaar is an employee in Galgotia and Sons, working at its Mumbai (Maharashtra) office. Mr. Bindusaar is unregistered under GST law. His family is located in Bareilly, Uttar Pradesh. His son requires a laptop for his school project on urgent basis. Therefore, Mr. Bindusaar places an order on Amazing.in - an e-commerce platform - for supply of a laptop of latest configuration for his son, which is to be delivered at his residential address located in Bareilly, Uttar Pradesh.

Mr. Bindusaar, while placing the order on the e-commerce platform - Amazing.in, provides the billing address of his apartment located in Mumbai Maharashtra. You are required to determine the place of supply of the supply of laptop in the given case.

Solution

As per the provisions of section 10(1)(ca) of the IGST Act, 2017, where the supply of goods is made to an unregistered person, the place of supply would be the location as per the address of said person recorded in the invoice and the location of the supplier where the address of the said person is not recorded in the invoice. Further, as per Explanation to the said clause, recording the name of the State of the said unregistered person on the invoice shall be deemed to be the recording of the address of the said person.

Accordingly, it is clarified vide Circular No. 209/3/2024 GST dated 26.06.2024 that in the cases involving supply of goods to an unregistered person, where the address of delivery of goods recorded on the invoice is different from the billing address of the said unregistered person on the invoice, the place of supply of goods in accordance with the provisions of section 10(1)(ca) of the IGST Act, 2017, shall be the address of delivery of goods recorded on the invoice.

Also, in such cases involving supply of goods to an unregistered person, where the billing address and delivery address are different, the supplier may record the delivery address as the address of the recipient on the invoice for the purpose of determination of place of supply of the said supply of goods.

Thus, the place of supply of laptop in the given case is Bareilly, Uttar Pradesh.

Illustration 10 [PYQ Jan 2025]

Determine the Place of Supply for the following independent cases, by briefly stating the relevant provisions :

- a) Marxy Pharmaceuticals, registered under GST at Jaipur, Rajasthan hires Sargam Events LLP, registered under GST at Sagar, Madhya Pradesh for its annual event to be held in Gandhinagar, Gujarat.
- b) PSL Ltd., a registered person in Chandigarh, Punjab orders from CMR Ltd., a registered person in Ranchi, Jharkhand for delivery of goods to MHT Ltd., a registered person in Ranchi, Jharkhand.

You are required to determine PoS for both of the above supplies made by CMR Ltd. as well as PSL Ltd.

Solution

- a) The place of supply of services provided to registered person by way of organization of a cultural, artistic, sporting, scientific, educational or entertainment event or services related to such event shall be the location of the recipient. Accordingly, place of supply is Jaipur, Rajasthan.



- b) In case of 'Bill to Ship to' supply model, where goods are delivered by supplier to recipient at the direction of a third person, the place of supply is the principal place of business of such third person.

Accordingly, in case of supply made by CMR Ltd., the place of supply is Chandigarh, Punjab.

The place of supply involving movement of goods will be their location at the time when the movement of goods terminates for delivery to the recipient.

Accordingly, in case of supply made by PSL Ltd., the place of supply is Ranchi, Jharkhand.

Illustration 11 [MTP May 2024 & MTP Jan 2025]

What would be the place of supply of service provided by an event management company for organizing a sporting event for a Sports Federation which is held in multiple States?

Solution

In case of an event, if the recipient of service is registered, the place of supply of services for organizing the event is the location of such person. However, if the recipient is not registered, the place of supply is the place where event is held. Since the event is being held in multiple states and a consolidated amount is charged for such services, the place of supply will be deemed to be in each State in proportion to the value for services determined in terms of the contract or agreement entered into in this regard.

In the absence of a contract or agreement between the supplier and recipient of services, the proportionate value of services made in each State (where the event is held) will be computed by the application of generally accepted accounting principles.

Illustration 12 [MTP Sep 2024]

Determine the place of supply in the following independent cases:

- a) Harpreet (New Delhi) boards the New Delhi-Kota train at New Delhi. He sells the goods taken on board by him (at New Delhi), in the train, at Jaipur during the journey.
- b) LP Refineries (Mumbai, Maharashtra) gives a contract to Bhansali Ltd. (Ranchi, Jharkhand) to supply a machine which is required to be assembled in a power plant in its refinery located in Kutch, Gujarat.

Solution

- a) The place of supply of goods supplied on a board a conveyance like aircraft, train, vessel, motor vehicle is the location where such goods have been taken on board. Place of supply of goods supplied on board a conveyance is determined under this provision even if the supply has been made by any of the passenger on board the conveyance and not by the carrier of the conveyance. Thus, in the given case, the place of supply of goods is the location at which the goods are taken on board, i.e. New Delhi and not Jaipur where they have been sold.
- b) If the supply involves goods which are to be installed or assembled at site, the place of supply is the place of such installation or assembly. This is a case of composite supply of goods wherein two supplies are involved, supply of goods and ancillary



supply of installation/assembling service. The principal supply is supply of goods which are being installed.

Thus, the place of supply is the site of assembly of machine, i.e. Kutch even though LP refineries is located in Maharashtra.

Illustration 13 [MTP Dec 2024]

What is the place of supply for mobile connection? Can it be the location of supplier?

Solution

The location of supplier of mobile services cannot be the place of supply as the mobile companies are providing services in multiple states and many of these services are inter-state. The consumption principle will be broken if the location of supplier is taken as place of supply and all the revenue may go to a few states where the suppliers are located.

The place of supply for mobile connection would depend on whether the connection is on postpaid or prepaid basis. In case of postpaid connections, the place of supply is the location of billing address of the recipient of services on the record of supplier of services.

In case of pre-paid connections, if the service is supplied:

- a) through a selling agent or a re-seller or a distributor of SIM card or re-charge voucher, the place of supply is the place address of the selling agent or re-seller or distributor as per the record of the supplier at the time of supply; or
- b) by any person to the final subscriber, the place of supply is the location where such prepayment is received or such vouchers are sold;
- c) in other cases, the place of supply is the address of the recipient as per the records of the supplier of services and where such address is not available, the place of supply shall be location of the supplier of services.

However, if the recharge is done through internet/e-payment, the location of recipient of service on record of the supplier will be taken as the place of supply.

Illustration 14 [RTP Jan 2026]

Determine the place of supply in respect of following independent cases. Brief reason should form part of your answer.

- a) Mr. U from Mount Abu, Rajasthan (an unregistered person) ordered one laptop, as a gift for his father, from e-commerce site 'Zilu' (registered in Mumbai, Maharashtra) to be delivered at his parent house located at Ahmedabad, Gujarat. Mount Abu, Rajasthan was mentioned as permanent address of Mr. U at e-commerce site 'Zilu'.
- b) Mr. Oman, a tourist from Australia visited India in the month of September. He got repaired his camera during his visit to Udaipur, Rajasthan by Mr. R who also visited Udaipur at the same time. Mr. R is registered at New Delhi. Mr. Oman provided address of his friend who resides at Mumbai Maharashtra to be mentioned in the bill issued by Mr. R for repairing of camera.

Solution

- a) The place of supply in case of goods (particularly being supplied through e-commerce platform) to unregistered persons where billing address is different from the address of delivery of goods shall be address of delivery of goods recorded on



the invoice. In the given case, billing address of Mr. U in the online platform of Zilu is at Mount Abu, Rajasthan but for delivery of laptop he had given different delivery address as Ahmedabad, Gujarat. So, place of supply will be address of delivery of goods recorded on the invoice i.e. Ahmedabad, Gujarat.

- b) The place of supply of services, except the specified services, made to any person other than a registered person shall be the location of the recipient where the address on record exists. Thus, the place of supply of repair services made to Mr. Oman is Mumbai, Maharashtra.

Illustration 15 [PYQ Sep 2025]

Examine the following independent cases and determine the Place of supply under the GST law along with the relevant legal provisions:

1. Mr. Mukul, a bank manager is transferred from Kolkata, West Bengal to Jodhpur, Rajasthan. His family resides at Ranchi, Jharkhand. He hires Fastman Couriers Private Limited, a registered company in Kolkata, to transport his household goods from Ranchi to Jodhpur.
2. M/s Ravi Builders of Pune, Maharashtra hired M/s Builder and Co. an architectural firm registered under the GST law at Ahmedabad, Gujarat for designing an architectural plan for a 21 floor building to be constructed by them in Canada.

Solution

1. The place of supply (PoS) of services by way of transportation of goods provided to an unregistered person is the location at which such goods are handed over for their transportation. In the given case the place of supply is Ranchi, Jharkhand.
2. The place of supply of architect services provided directly in relation to an immovable property, intended to be located outside India, shall be the location of the recipient of the services. In the given case the place of supply is Pune, Maharashtra.



Chapter 07: Value of Supply

Illustration 01

LSP Ltd., a registered supplier, sold a machine to Balwant Ltd. It provides the following information in this regard: -

S. No.	Particulars	Amount
1.	Price of the machine [excluding taxes and other charges mentioned at S. Nos. (ii) and (iii)]	20,000
2.	Third party inspection charges [Such charges were payable by LSP Ltd. but the same have been directly paid by Balwant Ltd. to the inspection agency. These charges were not recorded in the invoice issued by LSP Ltd.]	6,000
3.	Freight charges for delivery of the machine [LSP Ltd. has agreed to deliver the goods at Balwant Ltd.'s premises]	1,000
4.	Subsidy received from the State Government on sale of machine under Skill Development Programme [Subsidy is directly linked to the price]	5,000
5.	Discount of 2% is offered to Balwant Ltd. on the price mentioned at S. No. (i) above and recorded in the invoice	

Note: Price of the machine is net of the subsidy received.

Determine the value of taxable supply made by LSP Ltd. to Balwant Ltd.

[MTP May 24]

Solution

Computation of value of taxable supply made by M/s. LSP to Balwant Ltd.

Particulars	Amount
Price of the machine [Since the price linked subsidy is received from the State Government, the same is not includible in the value of supply]	20,000
Third party inspection charges [Any amount that the supplier is liable to pay in relation to the supply but has been incurred by the recipient and not included in the price actually paid or payable for the goods, is includible in the value of supply]	6,000
Freight charges for delivery of the machine [Since arranging freight is the liability of supplier, it is a case of composite supply and thus, freight charges are added in the value of principal supply]	1,000
Total	27,000
Less: Discount @ 2% on 20,000 being price charged to Balwant Ltd. [Discount given before or at the time of supply if duly recorded in the invoice is deductible from the value of supply]	400
Value of taxable supply	26,600



Illustration 02

Shri Krishna Pvt. Ltd., a registered supplier, furnishes the following information relating to goods sold by it to Shri Balram Pvt. Ltd.-

S. No.	Particulars	Amount
1.	Price of the goods [excluding taxes and other charges mentioned at S. Nos. (iii), (v) and (vi)]	1,00,000
2.	Municipal tax	2,000
3.	Inspection charges	15,000
4.	Subsidy received from Shri Ram Trust [Subsidy is directly linked to the goods supplied]	50,000
5.	Late fees for delayed payment inclusive of GST [Shri Balram Pvt. Ltd. paid the late fees. However, these charges were ultimately waived by Shri Krishna Pvt. Ltd. and the amount was refunded to Shri Balram Pvt. Ltd. during the same month]	1,000
6.	Weighment charges [Such charges were paid by Shri Balram Pvt. Ltd. to Radhe Pvt. Ltd. on behalf of Shri Krishna Pvt. Ltd.]	2,000

Note: Price of the goods is net of the subsidy received.

Determine the value of taxable supply made by Shri Krishna Pvt. Ltd. to Shri Balram Pvt. Ltd.

[MTP Nov 23]

Solution

**Computation of value of taxable supply made by
Shri Krishna Pvt. Ltd. to Shri Balram Pvt. Ltd.**

Particulars	Amount
Price of the goods	1,00,000
Municipal tax [Includible in the value as per section 15(2)(a) of the CGST Act, 2017]	2,000
Inspection charges [Any amount charged for anything done by the supplier in respect of the supply of goods at the time of/before delivery of goods is includible in the value as per section 15(2)(c) of the CGST Act, 2017]	15,000
Subsidy received from Shri Ram Trust [Since the subsidy is received from a non-Government body and directly linked to the supply, the same is includible in the value in terms of section 15(2)(e) of the CGST Act, 2017]	50,000
Late fees for delayed payment [Not includible since the same is waived off]	Nil
Weighment charges paid to Radhe Pvt. Ltd. on behalf of Shri Krishna Pvt. Ltd. [Any amount that the supplier is liable to pay in relation to the supply but has been incurred by the recipient and not included in the price actually paid or payable for the goods, is includible in the value of supply in terms of section 15(2)(b) of the CGST Act, 2017]	2,000
Value of taxable supply	1,69,000



Illustration 03

Red Pepper Ltd., Delhi, a registered supplier, manufactures taxable goods. It provides the following details of taxable inter-State supply made by it during the month of March.

S. No.	Particulars	Amount
a)	List price of taxable goods supplied inter-State (exclusive of taxes)	15,00,000
b)	Subsidy received from the Central Government for supply of taxable goods to Government School (exclusively related to supply of goods included at S. No. 1)	2,10,000
c)	Subsidy received from an NGO for supply of taxable goods to an old age home (exclusively related to supply of goods included at S. No. 1)	50,000
d)	Tax levied by Municipal Authority	20,000
e)	Packing charges	15,000
f)	Late fee paid by the recipient of supply for delayed payment of consideration (Recipient has agreed to pay 6,000 in lump sum and no additional amount is payable by him over and above such amount)	6,000

The list price of the goods is net of the two subsidies received. However, the other charges/taxes/fee are charged to the customers over and above the list price. Calculate the total value of taxable supplies made by Red Pepper Ltd. during the month of March. Rate of IGST is 18%.

[MTP Nov 23]

Solution

**Computation of total value of taxable supplies made by
Red Pepper Ltd. during the month of March**

Particulars	Amount
List price of the goods	15,00,000
Subsidy amounting to 2,10,000 received from the Central Government [Since the subsidy is received from the Government, the same is not includible in the value in terms of section 15(2)(e) of the CGST Act, 2017]	NIL
Subsidy received from NGO [Since the subsidy is received from a non-Government body and directly linked to the supply, the same is includible in the value in terms of section 15(2)(e) of the CGST Act, 2017]	50,000
Tax levied by the Municipal Authority [Includible in the value as per section 15(2)(a) of the CGST Act, 2017]	20,000
Packing charges [Being incidental expenses, the same are includible in the value as per section 15(2)(c) of the CGST Act, 2017]	15,000
Late fees paid by recipient of supply for delayed payment [Includible in the value as per section 15(2)(d) of the CGST Act, 2017 - As the amount of interest received is a lump sum amount, the same has to be taken as inclusive of GST] [6,000 x 100/118] rounded off	5,085



Total value of taxable supplies	15,90,085
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Illustration 04

Guru Enterprises (Delhi), a registered taxpayer, made a taxable supply to Y Ltd. (Delhi). The details of the said supply are as follows:

Particulars	Amount
Price of the goods (excluding any tax or discounts)	10,00,000
Tax levied by the Municipal Authority	10,000
Subsidy received from Jiva Enterprises Pvt Ltd. (The price above is after consideration of such subsidy amount)	1,00,000
Amount incurred by Y Ltd. for post delivery inspection. (Charges incurred post receipt of goods by Y Ltd.)	5,000

In respect of above supply, Guru Enterprises had procured some raw material from X Ltd., for which it owed Rs.25,000. The said amount was directly paid by Y Ltd. to X Ltd. and was not included in the price of goods of 10,00,000 mentioned above.

The payment of consideration for above supply was delayed by Y Ltd. Hence, an interest amount of Rs. 20,000 (in lumpsum) was also charged by Guru Enterprises.

The applicable tax rates are - CGST - 6%, SGST - 6% and IGST - 12%. You are required to determine the taxable value as well as the applicable tax liability for the said supply transaction.

[MTP May 23 & MTP Sep 24]

Solution**Computation of taxable value and tax liability**

Particulars	Amount
Price of goods (exclusive of tax and discounts)	10,00,000
Add: Tax levied by Municipal Authority [Tax other than GST, if charged separately, are includible in the value.]	10,000
Add: Subsidy received from Jiva Enterprises Pvt. Ltd. [Subsidy provided by non-Government bodies and which is directly linked to the price is includible.]	1,00,000
Add: Post-delivery inspection charges [Anything done by the supplier in respect of the supply of goods after the delivery of goods is not includible in value.]	-
Add: Amount directly paid by Y Ltd. to X Ltd. [Liability of the supplier, in relation to the supply being valued, if discharged by the recipient of supply and not included in the price, is includible in the value.]	25,000
Add: Interest [Interest for delayed payment of consideration is includible in the value. Since interest is received in lumpsum, amount is inclusive of GST [20,000 x 100/112] (rounded off).]	17,857
Value of taxable supply	11,52,857
CGST @ 6%	69,171
SGST @ 6%	69,171

Illustration 05

CA Jasmeet Singh



Gulati Ltd., a registered supplier in Mumbai (Maharashtra), has supplied goods to Mridul Traders and Kalu Motors Ltd. located in Ahmedabad (Gujarat) and Pune (Maharashtra) respectively. Gulati Ltd. has furnished the following details for the current month:

S. No.	Particulars	Mridul Traders	Kalu Motors Ltd.
1.	Price of the goods (excluding GST)	10,000	30,000
2.	Packing Charges	500	
3.	Commission	500	
4.	Weighment Charges		2,000
5.	Discount for prompt payment (recorded in the invoice)		1,000

Items given in points (ii) to (v) have not been considered while arriving at price of the goods given in point (i) above.

Compute the GST liability [CGST & SGST or IGST, as the case may be] of Gulati Ltd. for the given month. Assume the rates of taxes to be as under:

Particulars	Rate of tax
Central tax (CGST)	9%
State Tax (SGST)	9%
Integrated tax (IGST)	18%

Make suitable assumptions, wherever necessary.

[MTP May 24 & RTP Nov 21]

Solution

Computation of Value of supply & GST liability

S. No.	Particulars	Mridul Traders	Kalu Motors Ltd.
1.	Price of goods	1,0000	30,000
2.	Add: Packing charges (Note-1)	500	
3.	Add: Commission (Note-1)	500	
4.	Add: Weighment charges (Note-1)		2,000
5.	Less: Discount for prompt payment (Note-2)		1,000
	Value of taxable supply	11,000	31,000
	IGST payable @ 18% (Note-3)	1,980	
	CGST payable @ 9% (Note-3)		2,790
	SGST payable @ 9% (Note-3)		2,790

Notes:

- Incidental expenses, including commission and packing, charged by supplier to recipient of supply is includible in the value of supply. Weighment charges are also incidental expenses, hence includible in the value of supply.
- Since discount is known at the time of supply, it is deductible from the value in terms of section 15 of the CGST Act, 2017.
- Section 10 of the IGST Act, 2017 provides that where the supply involves movement of goods, the place of supply of such goods shall be the location of the goods at the time at which the movement of goods terminates for delivery to the recipient. Thus, place of supply is Gujarat. Further, where the location of the supplier and the place of supply are in two different States, supply of goods shall be treated as a



supply of goods in the course of inter-State trade or commerce. Since supply made to Mridul Traders is an inter-State supply, IGST is payable.

Illustration 06

Following are the particulars, relating to one of the machine sold by SQM Ltd. to ACD Ltd. in the month of February 2020 at list price of ₹ 9,50,000. (exclusive of taxes and discount) Further, following additional amounts have been charged from ACD Ltd :

S. No.	Particulars	Amount (₹)
(i)	Municipal taxes chargeable on the machine	45,000
(ii)	Outward freight charges (Contract was to deliver machine at ACD Ltd.'s factory i.e. F.O.R. contract)	65,000

Additional information :

- SQM Ltd. normally gives an interest-free credit period of 30 days for payment, after that it charges interest @ 1% p.m. or part thereof on list price.
- ACD Ltd. paid for the supply after 45 days, but SQM Ltd. waived the interest payable.
- SQM Ltd. received ₹ 50,000 as subsidy, from one non-government organization (NGO) on sale of such machine. This subsidy was not linked to the price of machine and also not considered in list price of ₹ 9,50,000.
- ACD Ltd. deducted discount of ₹ 15,000 at the time of final payment, which was not as per agreement.
- SQM Ltd. collected ₹ 9,500 as TCS (tax collected at source) under the provisions of the Income Tax Act, 1961.

Compute the value of taxable supply as per the provision of GST laws, considering that the price is the sole consideration for the supply and both parties are unrelated to each other.

Note: Correct legal provision should form part of your answer.

[PYQ Nov 2020]

Solution

Computation of value of taxable supply

S. No.	Particulars	Amount (₹)
	List price (exclusive of taxes and discount)	9,50,000
(i)	Municipal taxes [Note-1]	45,000
(ii)	Outward freight charges [Note-2]	65,000
	Value of taxable supply	10,60,000

Notes:

- Tax other than GST, if charged separately, are includible in the value in terms of section 15.
- Since contract is to deliver machine at buyer's factory, it is a composite supply wherein the freight charges will be added to the value of principal supply of machine.
- Value of supply includes interest charged for delayed payment. However, since the interest on delayed payment has been waived off, the same has not been added to the value.
- Subsidy provided by non-Government bodies is includible in the value in terms of section 15 provided the same is directly linked to the price. Since subsidy

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received from NGO is not directly linked to the price of the machine, the same has not been added to the value.

- 5) Since the discount was not known or agreed to at the time of supply of goods to the buyers, such discount cannot be reduced from the price, in terms of section 15.
- 6) TCS is not includible in the value of supply as it is an interim levy not having the character of tax

Illustration 07 [PYQ May 2025]

Ajay, a registered person, provided the following details about transactions entered into by him in the month of July, 2025:

1. He sold 3,000 units of goods to Wellness Pharma @ ₹ 400 each. Under section 206C(1H) of Income Tax Act, 1961, he is required to collect tax (TCS) of ₹ 2,000 from Wellness Pharma. He included ₹ 2,000 as TCS in tax invoice issued to the party.
2. Under a contract with State Government, he sold 1,000 units of goods (unit price is ₹ 400 per unit) @ ₹ 200 per unit to families of Economic Weaker Section (identified by State Government). Balance ₹ 200 per unit will be paid to him by State Government as subsidy.
3. Issued credit notes worth ₹ 1,50,000 net of GST as discount to its registered dealers who purchased more than 5,000 units between October, 2024 to December, 2024 under Festival Bonanza Scheme declared on 01.10.2024. The above discount was provided invoice wise with a condition of reversal of ITC by registered dealer.
4. Sold goods to Old Age Home for consideration of ₹ 1,00,000 (Normal Sale Value is ₹ 2,00,000). SAMVEDNA, an NGO registered under Section 12AA of Income Tax Act, 1961 gave them a subsidy of ₹ 30,000 to acknowledge his services to elderly people living in old age home.
5. After analysis of sale report of first quarter, he decided to give discount of 1% to shopkeepers whose total purchases exceeds ₹ 25,00,000 during the quarter ending June, 2025. Total discount given to such shopkeepers is ₹ 1,30,000.

Compute the taxable value of supply for the month of July, 2025 on which Mr. Ajay shall pay GST. Suitable notes and assumptions should form part of your answer. All the amounts stated above are exclusive of GST.

Solution

Computation of taxable value of supply on which GST shall be paid by Mr. Ajay for July 2025

Particulars	Amount
Goods sold to Wellness Pharma [3,000 units × ₹ 400] [TCS collected under the Income Tax Act, 1961 is not includible as it is an interim levy / not having the character of tax.]	12,00,000
Goods sold to Economic Weaker Section families [1,000 units × ₹ 200] [Subsidy given by the State Government is not includible in the value of supply.]	2,00,000
Credit note issued [Post supply discount is allowed as deduction from the value of supply if (i) it is agreed at the time of supply, (ii) proportionate ITC is	(1,50,000)



reversed by the recipient, and (iii) it is specifically linked to relevant invoices.]	
Sold goods to old age home [Transaction value is the value of supply. Subsidy received from a non-Governmental organisation is includible in the value only if it is directly linked to the price of the goods.]	1,00,000
Thus, subsidy received from the NGO-SAMVEDNA is not includible in the value since it is blanket subsidy and not directly linked to the price of the goods]	
Discount given to shopkeepers [Post supply discount is not allowed as deduction from the value of supply since in the given case, the same is not agreed at the time of supply.]	
Value of taxable supply on which GST is to be paid by Mr. Ajay	13,50,000

Illustration 08 [RTP Jan 2026]

Mr. Bose took a health insurance policy for the coverage amount of ₹ 5,00,000 upon making payment of premium of ₹ 10,000 annually (exclusive of GST) from Swasthya Bima Insurance Co. on 01.10.2025. Mr Bose had no claim during 2025-26. On 01.10.2026 Swasthya Bima Insurance Co. offered a discount of 5% on the renewal premium amount to Mr Bose for having claim free year 2025-26 because the company has a policy of offering a discount of 5% on the renewal premium amount for every claim free year in form of no claim bonus. The Swasthya Bima Insurance Co. make the disclosure of the fact of availability of discount in form of NCB, subject to certain conditions, to Mr. Bose in the insurance policy document itself. Also, there is specific mention of the discount in form of no claim bonus in the invoice issued by Swasthya Bima Insurance Co. to Mr. Bose.

As per Mr Bose's accountant, he has to pay GST on whole renewal premium amount without any deduction as no claim bonus is for agreeing to the obligation to refrain from the act of lodging insurance claim during 2025-26. Is the contention of the Accountant, correct? Reason for the same should form part of your answer.

Solution

The value of supply does not include any discount which is given before or at the time of supply if such discount has been duly recorded in the invoice issued in respect of such supply.

It is, therefore, clarified that no claim bonus (NCB) is a permissible deduction for the purpose of calculation of value of supply of the insurance services provided by the insurance company to the insured subject to the pre-disclosure of NCB amount in the policy documents and specific mention of the discount in form of NCB in the invoice. No, the contention of the Accountant is not correct in view of the above-mentioned provisions.

Since the deduction on account of NCB is provided in the invoice issued by the insurer to the insured, GST shall be leviable on actual insurance premium amount, payable by Mr. Bose to the Swasthya Bima Insurance Co., after deduction of NCB mentioned on the invoice.



Illustration 09 [PYQ Jan 2026]

M/s FRY Ltd. registered in the state of Rajasthan sold one Machine to M/s. BGC Ltd registered in the state of Rajasthan in the month of May, 2026, at contract price of ₹ 8,50,000. (Exclusive of taxes and discount). CGST and SGST (6% each) is chargeable on the machine

The following amounts have been charged from M/s BCG Limited in addition to the Contract Price:-

S. No.	Particulars	Amount (₹)
(i)	Outward freight Charges (Contract was to deliver machine at BGC Ltd.'s factory i.e. F.O.R. contract)	42,000

Additional information:

(i)	M/s FRY Ltd offers trade discount of 3% on the contract price of ₹ 8,50,000 which was duly recorded in invoice.
(ii)	M/s FRY Ltd normally gives an interest-free credit period of 15 days for payment from the date of issue of invoice failing which the interest @ 1.50% per month or part thereof shall be charged. The payment was made after 18 days from the date of issue of invoice. However, M/s FRY Ltd waived the interest payable for delay.
(iii)	M/s FRY Ltd. received following subsidies directly linked to the price, 1. ₹ 60,000 from one non-government organization (NGO) on sale of such machine. 2. ₹ 80,000 from the State Government on sale of such machine. Both the subsidies were not deducted while arriving the contract price of ₹ 8,50,000

Compute the Taxable Value of supply as per provision of GST laws considering that the price is the sole consideration for the supply and both parties are unrelated to each other

Note: Correct legal provision for each item should form part of your answer.

Solution**Computation of taxable value of supply**

Particulars	Taxable value (₹)
Contract price of machinery	8,50,000
Outward freight charges for delivery of the machine [Since the supplier agrees to deliver the goods at the buyer's premises and arranges for transport, it is a composite supply, the principal supply being the supply of goods. Thus, freight charges are includible.]	42,000
Trade discount [Deductible since discount is given at the time of supply and is recorded in invoice]	(25,500)
Interest for delayed payment [Not includible since the same is waived off.]	-
Price linked subsidy received from an NGO	-



[Since the subsidy is received from a non-Government body and directly linked to the supply, the same is includible in the value]	
Price linked subsidy received from State Government [Since the subsidy is received from the State Government, the same is not includible in the value of supply, and hence. deducted.]	(80,000)
Taxable value	7,86,500

Illustration 10 [PYQ May 2024]

Mr. Ravindra, a registered person in Bhopal, Madhya Pradesh has provided the following information regarding outward transactions made during the month of January, 2026:

- 1) He was appointed by recognized sports body as a chief selector of hockey team and received ₹ 5,00,000 as remuneration.
- 2) Services of pure labour contract was provided for construction of independent residential unit for ₹ 1,80,000.
- 3) He rented out his warehouse for warehousing of sugarcane and received rental income of ₹ 75,000.
- 4) Provided services to Municipal Corporation of Bhopal for slum improvement and upgradation for ₹ 6,50,000.
- 5) He has charged consideration of ₹ 1,25,000 against western music dance performance in an event.

You are required to compute the taxable value of supply on which GST is to be paid by Mr. Ravindra for the month of January, 2026. All the amount stated above are exclusive of GST, wherever applicable.

Suitable Notes should form part of answer.

Solution

Computation of taxable value of supply on which GST is to be paid by Mr. Ravindra

Particulars	Amount
Remuneration received as a chief selector of hockey team. [Taxable since services provided to a recognised sports body by an individual only as a player, referee, umpire, coach or team manager are exempt.]	5,00,000
Service of pure labour contract for construction of independent residential unit [Services of pure labour contracts of construction of original works pertaining to a single residential unit otherwise than as a part of a residential complex are exempt.]	NIL
Rental income from warehousing of sugarcane [Warehousing of sugarcane being an agricultural produce is exempt.]	NIL
Services to Municipal Corporation of Bhopal for slum improvement and upgradation [Services provided to a Local Authority by way of slum improvement and upgradation are exempt.]	NIL
Consideration received against western music dance performance in an event [Taxable, since the amount received for western music dance performance but the exemption is available for performance in folk or	1,25,000



classical art forms of music or dance. if the consideration charged for such performance is not more than ₹ 1,50,000.]	
Value of taxable supply on which GST is to be paid by Mr. Ravindra	6,25,000



Chapter 06: Time of Supply

Illustration 01

- 1) An order is placed to T & Co., Sholapur on 18th August, 2025 for supply of fabrics to make garments. Company delivered the fabrics on 4th September, 2025 and after completion of the order issued the invoice on 15th September, 2025. The payment against the same was received on 30th September, 2025. Determine the time of supply for the purpose of payment under CGST Act, 2017 with your explanations.
- 2) HM Industries Ltd. engaged the services of a transporter for road transport of a consignment on 20th May, 2025. However, the consignment could not be sent immediately on account of a strike in the factory, and instead was sent on 20th July 2025. Invoice was received from the transporter on 20th June 2025 and payment was made on 25th August 2025. What is the time of supply of the transporter's service?

[PYQ Nov 2021]

Solution

- 1) The time of supply of goods (where movement of goods involve) (fabric) for the purpose of payment of tax is the date of issue of invoice or the last date when the invoice ought to have been issued. Further, a registered person is required to issue a tax invoice before or at the time of delivery of goods or making available thereof to the recipient. Thus, in the given case, time of supply is 4th September, 2025.
- 2) **Alternative 1:** Assuming that services of transportation of goods by road have been provided by a GTA which has not paid GST @ 12%; i.e. GST is payable @ 5%. Tax on supply of transportation of goods by road services provided by a Goods Transport Agency (GTA) to a body corporate is payable under reverse charge by such body corporate. Time of supply of services taxable under reverse charge is earliest of:-
 - i) date of making payment, or
 - ii) 61st day from the date of issue of invoice by supplier

Thus, in the given case, time of supply is earlier of (a) 25th August or (b) 20th August 2025 (61st day from 20th June)

Thus, in the given case, time of supply 20th August 2025

Alternative 2: Assuming that services of transportation of goods by road have been provided by a GTA which has paid GST @ 12%.

Thus, GST is payable under forward charge. The time of supply of services in case where the invoice is issued within 30 days of provision of service is the earlier of date of invoice or date of receipt of payment.

Thus, in the given case, time of supply is 20th June, 2025.

Illustration 02

M/s Shubhank Associates, a partnership firm, provided recovery agent services to Neelkanth Credits Ltd., a non-banking financial company and a registered supplier, on 15th January. Invoice for the same was issued on 7th February and the payment was made on 18th April by Neelkanth Credits Ltd. Bank account of the company was debited on 20th April.

Determine the following:

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- 1) Person liable to pay GST
- 2) Time of supply of service

[MTP May 2021]

Solution

- 1) Tax on services supplied by a recovery agent to, inter alia, a non-banking financial company (NBFC) is payable under reverse charge by such non-banking financial company.
Therefore, in the given case, person liable to pay GST is the NBFC - Neelkanth Credits Ltd.
- 2) As per section 13(3) of the CGST Act, the time of supply of service on which GST is payable under reverse charge is earlier of the following:
 - Date of payment as entered in the books of account of the recipient (18th April) or the date on which the payment is debited in his bank account (20th April), whichever is earlier;
 - Date immediately following 60 days since issue of invoice by the supplier, i.e. 9th April. Thus, time of supply of service is 9th April.

Illustration 03

M/s. Xing Trans of Kolkata is engaged in the trading of transmitters. On 20/05/2025, M/s. Xing Trans has sent 500 units of transmitters for exhibition at Chennai on sale or return basis. Out of the said 500 units, 300 units have been sold on 28/07/2025 at the exhibition. Out of remaining 200 units, 150 units have been brought back to Kolkata on 25/11/2025 and balance 50 units have neither been sold nor brought back. Explain the provisions under GST law relating to issue of invoices with exact dates on which tax invoices need to be issued by M/s. Xing Trans.

[PYQ May 2022]

Solution

Where the goods being sent for sale or return are removed before the supply takes place, the tax invoice shall be issued before or at the time of supply or 6 months from the date of removal, whichever is earlier.

In the given case, 500 units of transmitters have been sent for exhibition on sale or return basis out of which 300 units are sold before 6 months from the date of removal. Thus, tax invoice for said 300 units needs to be issued before or at the time of supply of such goods, i.e. upto 28/07/2025.

Remaining 200 (150+ 50) units have neither been sold nor brought back till the expiry of 6 months from the date of removal goods, i.e. 20/11/2025. Thus, tax invoice for said 200 units needs to be issued upto 20/11/2025.

Illustration 04

Champak Ltd. availed legal services from a firm of advocates. The firm issues invoice for the services to Champak Ltd. on 17th Feb. However, Champak Ltd. was not happy with the services provided by the firm as its legal case was not handled by firm in a professional manner and it resulted in the company losing the case. The company delayed the payment to the firm and finally made the payment on 03rd Nov. Determine the time of supply of legal services provided by the firm of advocates to Champak Ltd.

[MTP Sep 2024]



Solution

Tax on services supplied by a firm of advocates by way of legal services to any business entity is payable under reverse charge by such firm of advocates. Time of supply of services that are taxable under reverse charge to earliest of the following two dates in terms of section 13(3) of CGST Act, 2017 :

- a) Date of Payment i.e. 03rd November
- b) 61st day from the date of issue of invoice i.e. 19th April

The date of payment comes subsequent to the 61st day from the issue of invoice by the supplier of service. Therefore, the 61st day from the date of supplier's invoice has to be taken as the time of supply.

This fixes 19th April as the time of supply

Illustration 05

From the following information provided by M/s Sasta Bazaar. Determine the time of supply for the purpose of payment of GST:

It received interest of 10,000 for late payment from a customer on 11.11.2025 for supply of goods which was originally made on 24.06.2025.

[RTP May 24]

Solution

Section 12(6) of the CGST Act, 2017 prescribes that time of supply in case of addition in value on account of interest/ late fee/penalty for delayed payment of consideration for goods is the date on which the supplier receives such addition in value. Therefore, time of supply in the given case is 11.11.2025

Illustration 06 [PYQ Jan 2025]

CBIC has issued a recent clarification on Time of Supply in respect of supply of services of construction of road and maintenance thereof of National Highway Projects of National Highway Authority of India (NHAI) in Hybrid Annuity Mode (HAM) model. Briefly discuss the said clarification.

Solution

Since in HAM model of NHAI, periodical payments are spread over the contract period in the form of installments, it is a 'continuous supply of services'.

It has been clarified by CBIC vide a circular that the time of supply of services under HAM contract, including construction and operation and maintenance portion, should be:

1. in case where the invoice is issued on or before the specified date (due date of payment) or the date of completion of the event specified in the contract, as applicable:
 - (a) date of issuance of invoice or
 - (b) date of receipt of paymentwhichever is earlier.
2. in case where invoices are not issued on or before the specified date (due date of payment) or the date of completion of the event specified in the contract:
 - a) date of provision of the said service (i.e., the due date of payment as per the contract)
 - or
 - b) date of receipt of the payment



whichever is earlier.

Illustration 07 [RTP Sep 2025]

Mr. Muttswami, an electronics dealer registered in Bangalore, Karnataka hired M/s Parivahan Logistics, an unregistered Good Transport Agency (GTA), to deliver his goods at the place of business of customer in Jaipur, Rajasthan. M/s Parivahan Logistics charged ₹ 60,000 for the transportation of goods, which was paid by Muttswami on 4th January through account payee cheque. The delivery was also made on the same day. M/s Parivahan Logistics did not raise the tax invoice for these services, since it was unregistered.

In this case, you are required to determine:

- a) Person liable to issue the tax invoice
- b) Time limit for issuance of the tax invoice
- c) Time of supply of transportation services provided by GTA, assuming that tax invoice is issued on the last day on which it should have been issued.

Solution

Supply of services by a Goods Transport Agency (GTA) in respect of transportation of goods by road to any person registered under the GST is taxable under reverse charge mechanism in terms of section 9(3) of the CGST Act, 2017. Thus, Mr. Muttswami, being the registered recipient is liable to pay tax under reverse charge mechanism in respect of services received from unregistered GTA.

- a) Person liable to issue the tax invoice

As per section 31(3)(f) of the CGST Act, 2017, a registered person who is liable to pay tax under reverse charge mechanism under section 9(3)/ 9(4), shall within the period as may be prescribed issue an invoice in respect of goods or services or both received by him from the supplier who is not registered on the date of receipt of goods or services or both.

Since, M/s Parivahan Logistics is an unregistered GTA, Mr. Muttswami, being liable to pay the tax under reverse charge mechanism under section 9(3) is required to issue the tax invoice.

- b) Time limit for issuance of the tax invoice

Rule 47A of the CGST Rules, 2017 provides that where an invoice referred to in rule 46 is required to be issued under section 31(3)(f) by a registered person, who is liable to pay tax under section 9(3)/ 9(4), he shall issue the said invoice within a period of 30 days from the date of receipt of the said supply of goods and/or services, as the case may be. Thus, Mr. Muttswami is required to issue a tax invoice till 3rd February (i.e. within 30 days of receipt of services).

- c) Time of supply of transportation services supplied by GTA.

As per section 13(3) of the CGST Act, 2017, in case of supplies in respect of which tax is paid or liable to be paid on reverse charge basis, the time of supply shall be the earlier of the following dates, namely:—

- (a) the date of payment as entered in the books of account of the recipient or the date on which the payment is debited in his bank account, whichever is earlier; or



- (b) the date immediately following sixty days from the date of issue of invoice or any other document, by whatever name called, in lieu thereof by the supplier, in cases where invoice is required to be issued by the supplier, or
- (c) the date of issue of invoice by the recipient, in cases where invoice is to be issued by the recipient.

Since, in this case the reverse charge mechanism is applicable on receipt of services provided by GTA and invoice is issued by recipient, time of supply would be earliest of the following date:

- a) Date of payment i.e. 4th January
- b) The date of issue of invoice by the recipient i.e. 3rd February. So, the time of supply in this case will be 4th January.

Illustration o8 [RTP May 2026]

Determine the time of supply in case of following transactions on individual basis by briefly stating the relevant provisions:

- a) M/s. Jhanvi Event Management, a registered firm, is engaged in the business of event management services. Mr. Jasbeer hired M/s. Jhanvi Event Management on 1st February, 2025 to organize Marriage Anniversary function to be held on 14th February, 2025 for a total consideration of ₹ 3,00,000. Mr. Jasbeer paid ₹ 25,000 as a booking amount on 4th February, 2025. M/s. Jhanvi Event Management issued a bill of ₹ 3,00,000 on 12th March, 2025. Mr. Jasbeer paid balance amount of ₹ 2,75,000 on 20th March, 2025.
- b) Mr. Shrawan Kumar, a registered person undertook the service of transportation of goods from M/s Longway Tempo Services (a Goods Transport Agency (GTA), a registered person, on 1st January, 2025 to transport goods from Gurgaon to Faridabad, Haryana. M/s Longway Tempo Services issued invoice for ₹ 30,000 on 2nd January, 2025. Mr. Shrawan Kumar issued a cheque of ₹ 30,000 on 18th February, 2025 and entered in the books of account on the same day. But the cheque was debited from bank on 19th February, 2025. Determine the time of supply for Mr. Shrawan Kumar for transportation services received by him.

Solution

- a) The time for supply of services is the date of issue of invoice, if the same is issued within 30 days from the date of supply, OR the date of receipt of payment, whichever is earlier.

In the given case, time of supply for receipt of booking amount of ₹ 25,000 is the date of receipt of booking amount on 4th February 2025 as date of receipt of payment is earlier than date of issue of invoice.

The time of supply for ₹ 2,75,000 is the date of issue of invoice i.e. 12th March 2025 as the invoice is issued within 30 days of supply of service and date of issue of invoice is earlier than the date of receipt payment.

So, time of Supply is 4th February 2025 for ₹ 25,000 and 12th March 2025 for balance amount of ₹ 2,75,000.

- b) Supply of services by a Goods Transport Agency (GTA) in respect of transportation of goods by road to any person registered under the CGST Act is taxable under Reverse Charge Mechanism (RCM) and the time for supply of services under RCM is earliest of the following dates:



- The date of payment, or
- The date immediately after 60 days from the date of issue of invoice by supplier, in case where the invoice is required to be issued by the supplier, or
- Date of issue of Invoice by the recipient, in cases where invoice is to be issued by the recipient.

“Date of payment” refers to the date on which the payment is recorded in the books of account of the recipient of service, or the date on which the payment is debited from the recipient’s bank account, whichever is earlier.

Thus, date of payment is 18th February 2025.

In the given case, the time of supply is 18th February 2024.





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